

Lecture : 1

1. What is a Business?

Simple definition

A **business** is an economic activity in which a person or organization provides **goods or services** to customers with the objective of earning income/profit.

Examples

- Grocery store
- Software house
- Restaurant
- Clothing shop
- Automobile company
- Freelancing business
- Construction company

Suppose you open a small computer shop.

You invest **Rs. 500,000** into the shop.

You use that money to:

- Buy computers
- Rent a shop
- Buy furniture
- Pay electricity bills
- Purchase inventory

Then you sell computers to customers.

The basic cycle is:

Money → Business Activity → Goods/Services → Customers → Money

Accounting records and summarizes these business activities.

Why do we need Accounting?

Imagine you run a business for one year.

During that year:

- You receive Rs. 5 million
- Pay Rs. 3 million
- Buy equipment
- Take a loan
- Sell goods
- Pay employees
- Customers owe you money

After one year, you might ask:

How much does my business actually own?

How much does it owe?

How much did I invest?

Did I make a profit or loss?

Accounting helps answer these questions.

2. Monetary and Non-Monetary

The word **monetary** comes from **money**.

Monetary

Something that can be **measured or expressed in money**.

For example:

- Cash = Rs. 100,000
- Computer = Rs. 150,000
- Building = Rs. 20 million
- Loan = Rs. 5 million
- Sales = Rs. 50,000

All of these can be represented using money.

Therefore, accounting can record them.

Non-Monetary

Something that **cannot be directly expressed in monetary terms**.

For example:

- Employee is hardworking
- Manager is intelligent
- Owner is honest
- Employees have good teamwork
- Company has a good reputation

These things may be extremely valuable to a business, but accounting generally cannot record them simply as:

"Manager intelligence = Rs. 500,000"

There is no reliable monetary measurement.

Important principle

Accounting mainly records **measurable economic events**.

Example

Suppose your employee is extremely hardworking.

Can we record:

Employee hardworking = Rs. 100,000

✗ No, because there is no objective monetary measurement for that characteristic.

But if you **pay the employee Rs. 100,000 salary**, then:

Salary expense = Rs. 100,000

✓ Now accounting can record it.

3. Transaction and Its Impact

What is a Transaction?

A **transaction** is a business event that:

“ Can be measured in monetary terms and has an effect on the financial position of the business . “

Let's break that down.

A transaction generally needs to:

- ① **Be related to the business**
 - ② **Have monetary value**
 - ③ **Cause a change in the business's financial position**
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Example 1 — Owner invests money

You start a business.

You put:

Rs. 500,000

into the business.

What happened?

The business received:

Cash + Rs. 500,000

But where did that money come from?

From the owner.

So owner's **capital increases by Rs. 500,000**.

Therefore:

Assets ↑ Rs. 500,000

Capital ↑ Rs. 500,000

This is a transaction.

Example 2 — Business buys a laptop for cash

Business buys a laptop for:

Rs. 100,000 cash

What happens?

Before:

Cash = Rs. 100,000

After buying laptop:

Cash decreases by Rs. 100,000

Laptop increases by Rs. 100,000

So:

Cash ↓ 100,000

Laptop ↑ 100,000

Notice something interesting:

The total assets haven't necessarily changed.

You simply changed the **form of the asset**.

Before

Cash = 100,000

After

Laptop = 100,000

Total Assets = 100,000

Example 3 — Business takes a bank loan

You take:

Rs. 300,000 loan

from a bank.

The business receives cash.

So:

Cash ↑ Rs. 300,000

But now the business owes the bank.

Therefore:

Liability ↑ Rs. 300,000

So the transaction affects two elements:

Assets ↑

Liabilities ↑

4. Impact Elements



Accounting Equation

$Assets = Capital + Liabilities$

This equation is the foundation of financial accounting.

→ 1- Assets

What is an Asset?

An **asset** is an economic resource controlled by a business that has value and can provide future economic benefits.

In simple words:

Something valuable that the business owns or controls.

Examples

- Cash
 - Bank balance
 - Building
 - Land
 - Furniture
 - Computers
 - Vehicles
 - Inventory/stock
 - Accounts receivable
-

Example

Your business owns:

Asset	Value
Cash	Rs. 200,000
Computer	Rs. 100,000
Furniture	Rs. 50,000

Total assets:

$200,000 + 100,000 + 50,000 = 350,000$

So:

Assets = Rs. 350,000

→ 2- Liabilities

A **liability** is an amount that the business **owes to another party**.

In simple words:

Liability = Business's obligation/debt

Examples:

- Bank loan
 - Loan from another person
 - Amount payable to suppliers
 - Outstanding expenses
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Example

You borrow:

Rs. 200,000

from a bank.

The business now has:

Liability = Rs. 200,000

because it must repay the bank.

→ 3- Capital

Capital represents the **owner's investment/claim in the business**.

Suppose you start a business with:

Rs. 500,000

Your capital is:

Capital=Rs.500,000Capital = Rs.500,000

But here's a deeper concept:

The owner doesn't necessarily have a direct claim on individual assets.

Instead:

Owner's Equity/Capital=Assets-Liabilities

For example:

Business assets = Rs. 1,000,000

Business liabilities = Rs. 300,000

Therefore:

Capital=1,000,000-300,000 Capital = 1,000,000-300,000 Capital=Rs.700,000

AI Generated Material - Self Modify.